

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC

The unconventional finance company

For the three months ended 30th June 2017

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**STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE THREE MONTHS ENDED 30TH JUNE, 2017**

	For the Quarter Ended		
	30.06.2017	30.06.2016	Change
	LKR Unaudited*	LKR Unaudited*	%
Interest income	570,119,418	431,285,794	32.2%
Less: Interest expenses	(277,496,809)	(195,211,065)	42.2%
Net Interest income	292,622,609	236,074,729	24.0%
Net Trading gain/(loss) on held for trading securities	(22,770)	1,649,765	-101.4%
Other operating income	22,748,793	21,071,458	8.0%
Less: Operating expenses			
Personnel expenses	(85,843,530)	(83,582,691)	2.7%
Provision for staff retirement benefits	(1,500,000)	(1,200,000)	25.0%
General and administration expenses	(80,947,373)	(59,594,973)	35.8%
Impairment charge for lease rentals receivable, hire purchase, loans and advances	(55,700,000)	(35,000,000)	59.1%
Operating profit before value added tax on financial services	91,357,728	79,418,287	15.0%
Value added tax on financial services	(18,033,614)	(12,600,000)	43.1%
Operating profit before income tax	73,324,114	66,818,286	9.7%
Income tax expense	(16,803,085)	(10,500,000)	60.0%
Profit for the year	56,521,029	56,318,286	0.4%
Other comprehensive income not to be reclassified to profit or loss in subsequent periods (net of tax)			
Actuarial gain/(loss) on retirement benefit liability	-	-	-
Deferred tax effect on components of other comprehensive income	-	-	-
Other comprehensive income for the year net of tax	-	-	-
Total comprehensive income for the year	56,521,029	56,318,286	0.4%
Earnings per share - basic	0.27	0.27	0.4%

Figures in brackets indicate deductions.

ASIA ASSET FINANCE PLC
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE, 2017

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ASSETS

Cash and cash equivalents	650,540,947
Investment in reverse repurchase agreements against treasury bills and bonds	581,046,118
Other financial assets	-
Financial assets - Held for trading	222,369
Loans and advances	7,196,733,566
Lease rentals receivable and hire purchase	1,444,848,213
Real estate inventories	-
Other assets	16,631,185
Advances, deposits and prepayments	72,108,244
Financial assets - available for sale	506,659
Property, plant and equipment	161,161,020
Investment property	309,732,938
Deferred tax assets	118,202,710
Intangible assets	10,916,045
Total assets	10,562,650,014

LIABILITIES

Due to banks	170,169,620
Other liabilities	91,232,066
Current tax liabilities	38,011,213
Other borrowed funds	2,528,695,631
Due to customers	5,979,953,182
Retirement benefit obligation	19,919,955
Total liabilities	8,827,981,667

EQUITY

Stated capital	1,388,935,273
Retained earnings	283,559,353
Statutory reserve fund and other reserves	62,173,720
Total equity	1,734,668,347
Total equity and liabilities	10,562,650,014

Net assets value per share

30.06.2017	31.03.2017	Change
LKR	LKR	%
Unaudited*	Audited*	
650,540,947	601,891,827	8.1%
581,046,118	433,333,648	34.1%
-	-	-
222,369	50,204,691	-99.6%
7,196,733,566	6,838,366,400	5.2%
1,444,848,213	1,424,679,822	1.4%
-	-	-
16,631,185	15,626,098	6.4%
72,108,244	64,760,286	11.3%
506,659	506,659	0.0%
161,161,020	161,931,102	-0.5%
309,732,938	306,253,164	1.1%
118,202,710	118,202,709	0.0%
10,916,045	11,179,033	-2.4%
10,562,650,014	10,026,935,439	5.3%
170,169,620	36,031,902	372.3%
91,232,066	46,791,280	95.0%
38,011,213	30,749,073	23.6%
2,528,695,631	2,476,518,223	2.1%
5,979,953,182	5,681,178,140	5.3%
19,919,955	18,774,955	6.1%
8,827,981,667	8,290,043,573	6.5%
1,388,935,273	1,388,935,273	-
283,559,353	288,608,924	-1.7%
62,173,720	59,347,669	4.8%
1,734,668,347	1,736,891,866	-0.1%
10,562,650,014	10,026,935,439	5.3%
2.07	2.07	-0.1%

Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 30th June 2017 and its profit for the year ended 30th June 2017.

Sgd

Geethika Elwalage

Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of the Financial Statements.

Approved and Signed for and on behalf of the Board.

Sgd

R.J.A Gunawardena

Director

Sgd

Manohan Nanayakkara

Chairman

	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Investment Fund Reserve Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1st April, 2016 (Audited)	1,388,935,273	3,000,000	42,579,648	-	27,016,515	1,461,531,436
Total comprehensive income for the year						
Profit for the three months ended 30.06.2016	-	-	-	-	56,318,286	56,318,286
Other comprehensive income (net of tax)	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	-	56,318,286	56,318,286
Transfers to reserves	-	-	2,815,914	-	(2,815,914)	-
Total transactions with equity holders	-	-	2,815,914	-	(2,815,914)	-
Balance as at 30.06.2016 (Unaudited)	1,388,935,273	3,000,000	45,395,562	-	80,518,887	1,517,849,722
Balance as at 1st April, 2017 (Audited)	1,388,935,273	3,000,000	56,347,669	-	288,608,924	1,736,891,866
Total comprehensive income for the year						
Profit for the three months ended 30.06.2017	-	-	-	-	56,521,029	56,521,029
Other comprehensive income (net of tax)	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	-	56,521,029	56,521,029
Transfers to reserves	-	-	2,826,051	-	(2,826,051)	-
Final dividend for 2016/17	-	-	-	-	(58,744,548)	(58,744,548)
Balance as at 30th June, 2017 (Unaudited)	1,388,935,273	3,000,000	59,173,720	-	283,559,353	1,734,668,347

Figures in brackets indicate deductions.

ASIA ASSET FINANCE PLC
STATEMENT OF CASH FLOWS
FOR THE THREE MONTHS ENDED 30TH JUNE, 2017

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	30.06.2017 Unaudited* Rs.	30.06.2016 Unaudited* Rs.
Cash flows from operating activities		
Profit before income tax	73,324,114	66,818,286
Adjustments for		
Depreciation and amortization	10,562,754	7,727,996
Impairment of lease hire purchase, loans and advances	55,700,000	35,000,000
Early termination of Loans, Leases and HP Loans	(178,902)	-
Profit on sale of held for trading securities	(40,449)	132,110
Gain/loss on fair valuation of held for trading securities	17,679	(1,781,875)
Gains from sale of property, plant and equipment, investment property and real estate inventories	(249,144)	1,950,189
Provision for retirement benefit liability	1,500,000	1,200,000
Interest expense on other borrowings	85,870,187	51,141,805
Cash generated from operations before working capital changes	226,506,238	162,188,511
(Increase)/decrease in real estate inventories	-	32,900,189
(Increase)/decrease in lease rentals receivable and hire purchase	(20,168,391)	85,671,573
(Increase)/decrease in loans and advances	(358,367,166)	(820,394,012)
(Increase)/decrease in other receivables	(1,005,087)	(1,548,672)
(Increase)/decrease in deposits and prepayments	(7,347,958)	5,404,948
(Increase)/decrease in financial assets - loans and receivables	-	(51,143,038)
Increase in deposits from customers	298,775,042	452,730,750
Increase/(decrease) in other liabilities	(9,538,820)	5,078,322
Net cash used in operating activities before income tax payments	128,853,859	(129,111,428)
Taxes paid	(4,716,757)	-
Gratuity paid	(355,000)	-
Net cash used in operating activities	123,782,102	(129,111,428)
Cash flows from / (used in) investing activities		
Acquisition of property, plant and equipment	(9,245,524)	(13,584,907)
Acquisition of intangible assets	(477,850)	-
Proceeds from sale of investment property	3,950,000	-
Proceeds from sale of real estate inventories	-	30,950,000
Proceeds from sales of held for trading securities	-	17,019,853
Proceeds from sales of property, plant and equipment	215,962	-
(Investment)/Withdrawal in debentures	52,253,804	(50,000,000)
Investments in Treasury bills	(135,000,000)	(86,403,836)
Investments in Fixed deposits	(100,000,000)	(245,771,710)
Net cash used in investing activities	(188,303,608)	(347,790,600)
Cash flows from / (used in) financing activities		
Repayment of other borrowed funds	(607,107,108)	163,154,240
Proceeds from other borrowed funds	733,852,487	447,289,742
Net cash generated from financing activities	126,745,379	610,443,982
Net increase in cash and cash equivalents	62,223,873	133,541,953
Cash and cash equivalents at the beginning of the year	999,193,573	852,738,833
Cash and cash equivalents at the end of the year	1,061,417,446	986,280,786
At the beginning of the Year		Note A
Cash and cash equivalents	601,891,827	690,797,870
Investment in reverse repurchase agreements against treasury bills and bonds	433,333,648	328,866,266
Bank overdraft	(36,031,902)	(166,925,303)
	999,193,573	852,738,833
At the end of the year		Note B
Cash and cash equivalents	650,540,947	748,807,806
Investment in reverse repurchase agreements against treasury bills and bonds	581,046,118	423,102,384
Bank overdraft	(170,169,620)	(185,629,404)
	1,061,417,446	986,280,786

Figures in brackets indicate deductions.

The accounting policies and notes on pages 05 to 47 form an integral part of these financial statements.

38. FINANCIAL REPORTING BY SEGMENT

	Finance lease		Hire purchase		Loans and advances		Investment		Other		Total	
	30.06.2017	30.06.2016	30.06.2017	30.06.2016	30.06.2017	30.06.2016	30.06.2017	30.06.2016	30.06.2017	30.06.2016	30.06.2017	30.06.2016
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest income	77,974,667	74,553,732	4,458,311	13,798,623	461,826,059	317,622,993	25,860,380	25,310,446	-	-	570,119,418	431,285,794
Other income	2,933,382	3,250,417	22,391	601,597	18,529,544	14,073,197	39,962	2,216,183	1,200,744	2,579,828	22,726,023	22,721,223
Total revenue	80,908,049	77,804,149	4,480,702	14,400,220	480,355,603	331,696,190	25,900,342	27,526,629	1,200,744	2,579,828	592,845,440	454,007,016
Segmental result	12,467,964	13,610,081	690,478	2,518,994	74,022,998	58,022,766	3,991,253	4,815,163	185,035	451,283	91,357,728	79,418,286
Value added tax on financial services											(18,033,614)	(12,600,000)
Profits from operations											73,324,114	66,818,286
Income tax charge/reversal for the year											(16,803,085)	(10,500,000)
Net profit for the year											56,521,029	56,318,286
Segment assets	1,316,201,130	1,304,554,385	128,647,083	312,193,295	7,196,733,566	5,589,752,529	581,268,487	515,937,352	-	-	9,222,850,266	7,722,437,561
Unallocated assets	-	-	-	-	-	-	-	-	1,339,799,748	1,272,695,491	1,339,799,748	1,272,695,491
Total assets	1,316,201,130	1,304,554,385	128,647,083	312,193,295	7,196,733,566	5,589,752,529	581,268,487	515,937,352	1,339,799,748	1,272,695,491	10,562,650,014	8,995,133,052
Segment liabilities	1,238,561,866	1,246,668,661	121,058,528	298,340,646	6,772,217,061	5,341,723,872	546,980,978	493,044,165	-	-	8,678,818,433	7,379,777,344
Unallocated liabilities									149,163,234	97,505,986	149,163,234	97,505,986
Total liabilities	1,238,561,866	1,246,668,661	121,058,528	298,340,646	6,772,217,061	5,341,723,872	546,980,978	493,044,165	149,163,234	97,505,986	8,827,981,667	7,477,283,329

In determining segment results, expenses have been allocated proportionately based on interest income and Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Audited financials for the year ended 31st March 2017.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 30th June, 2017 (including comparatives) were approved and authorized for issue on 9th August 2017 in accordance with a resolution of the board of directors on 9th August 2017.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 30th June, 2017 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	30.06.2017	30.06.2016
Issued and Fully Paid Ordinary Shares (Quoted)	839,207,833	839,207,833

08. Market Value of Shares

	30.06.2017 Rs.	30.06.2016 Rs.
Highest Traded Price	1.70	1.70
Lowest Traded Price	1.30	1.30
Closing Price	1.60	1.60

09. There has been no significant change in the nature of the contingent liabilities/Assets for the year ended 31st March 2017 which were disclosed in the Audited Financials for the year ended 31st March 2017.

10. Major 20 share holders as at 30th June 2017

NAME	No of Shares	(%)
1 Muthoot Finance Limited	503,524,700	60.00
2 Seylan Bank PLC/Thirugnanasambandar Senthilverl	48,965,497	5.83
3 J.B. Cocoshell (Pvt) Ltd	42,429,508	5.06
4 Pan Asia Banking Corporation PLC/Mr.Manohan Nanayakkara	17,655,745	2.10
5 Mrs. G.I. Vasunthara	17,175,002	2.05
6 Mr. S.D.R.Arudpragasam	16,302,070	1.94
7 People'S Leasing & Finance PLC/Mr.W.K.R.Jayakody	13,779,149	1.64
8 Mr. P.A.D.R.U. Pushpakumara	12,630,000	1.50
9 Mr.K.M.S.M.Razeek ,Mr.K.S.M.Rajubdeen & Mr.S.M.R.Mohamed	7,400,000	0.88
10 Waldock Mackenzie Limited/ Mr. P S R Casie Chitty	5,500,000	0.66
11 Code-Gen International Pvt Ltd	4,241,188	0.51
12 Mr.C.W. Gunasekara	4,155,000	0.50
13 Ceylon Biscuits Limited	3,750,000	0.45
14 Dr. T. Senthilverl	3,399,299	0.41
15 Mr.P.P. Subasinghe	3,181,608	0.38
16 Mr.K.S.D.Senaweera	3,100,000	0.37
17 Mr.C.R.Perera	2,589,987	0.31
18 M Investments Lanka (Pvt) Ltd	2,578,578	0.31
19 Mr.W.Gunarathne	2,145,601	0.26
20 Mr. S Abishek	2,133,997	0.25
	716,636,929	85.39
Othres	122,570,904	14.61
Total	839,207,833	100.000

No of Shareholders	% of Shareholdin
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11. Shares held by public as at 30th June 2017

2,539 37.73

12. Directors Share Holding

Name	No. of Shares 30.06.2017	%
Pan Asia Banking Corporation PLC / Mr. H.L.L.M. Nanayakkara	17,655,845	2.104
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	600,000	0.071
Mr.G.Alexander	-	-
Mr.Chandrakumar Ramachandra	800,000	0.095
Mr.R.A.T.P.Perera	-	-
Mr.K.R.Bijimon	-	-
Mr.K.G.K.Pillai	-	-
Mr.R.A.B. Basnayake	-	-

13 Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone

011 5 66 99 22

Fax

011 2 57 74 77

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Chandrakumar Ramachandra
Mrs.Dayangani Priyanthi Pieris
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Kuttikattu Rajappan Bijimon
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake

Company Secretary

P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company

Shiranthi Gunawardena Associates
No.22/1, Elliot Place,
Colombo 08.

Company Auditors - External

BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Bankers of the Company :

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC
Indian Bank

Audit Committee

Mr.Thusitha Perera
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Chandrakumar Ramachandra
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Chandrakumar Ramachandra
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Thusitha Perera
Mr.Roshan De Silva Gunasekara (Chief Operating Officer)

Remuneration Committee

Mr.Chandrakumar Ramachandra
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Rajitha Ananda Bandara Basnayake

Related Party Transactions Review Committee

Mr.Chandrakumar Ramachandra
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Ms.Dayangani Priyanthi Pieris
Mr.Kuttikattu Rajappan Bijimon

IT committee

Mr.Rajitha Ananda Bandara Basnayake
Mr.Hiniduma Liyanage Lakpriya Manohan Nanayakkara
Mr.Chandrakumar Ramachandra
Mrs.Dayangani Priyanthi Pieris